

The Political Economy of Contemporary China's Banking Sector

Nguyen Chi Thang*, Le Thien Ha Ngan

Fulbright University Vietnam, Ho Chi Minh City, Vietnam

*Corresponding author, thang.nguyen.240184@student.fulbright.edu.vn

(Under the supervision of Dr. Nguyen Thanh Trung)

Abstract The Chinese Communist Party (CCP) perceives finance, dominated by banking activities, as one of its strategic bases of political power. In this framework of Chinese party-state capitalism, the party-state encroaches its influence over China's banking sector by utilizing institutionalized controlling channels such as regulatory control, ownership control, and personnel control. These institutional instruments let the party-state hold absolute authority over banking operations, but also create structural conflicts. We note that these frictions are not systemic failures but an equilibrium outcome regarding power dynamics between the state versus market, intra-state, and intra-market that reflect on-going political relations given institutional features of an authoritarian regime.

1 Introduction

"Political power grows out of the barrel of a gun (枪杆子里面出政权)" —Mao Zedong(毛泽东)

When the Chinese Communist Party (CCP, 中国共产党) defeated the Kuomintang and took control over the State of China, their power came from military might. Since then, the People's Republic of China has treated the monopoly in coercive actions as necessary for the regime's survival—the Party-State utilizes political repression, policing, censorship, loyalty, and entrenched interests to stay in power. However, since the death of Mao in 1976 and leadership transferred to Deng Xiaoping (邓小平) in 1978, China has entered an era of economic liberalization. This marks a transition from Maoist central planning to a gradualist model of economic reform, as noted by [Chen and Zha \(2025\)](#), and [Qian \(2017\)](#), where the economy was incrementally liberalized with market principles while political power was still held by the CCP. As economic growth demands the need of a financial system, Chinese policymakers reformed the banking sector—where loanable funds from households can be lent to firms that are in need of capital. With the existence of market-based banking activities, enterprises can have access to credit and finance their business development and generate financial gain to the economy.

The economy and the financial system advance, so do the roles of money and fund. However, this created an opposition to the CCP's holding of power, where political influence no longer just grew out of the barrel of a gun, but also the vault of a bank. The party-state resolved this issue by extending its control to the financial system, especially the banking sector. Such paternalistic behavior originates from Maoist era institution, and then furtherly enhanced and re-institutionalized after the 2008 Global Financial Crisis and Xi Jinping's (习近平) ascension to the role of the CCP General Secretary in 2012, which is documented by [Pearson, Rithmire, and Tsai \(2021\)](#) as the patterns of Chinese party-state capitalism.

As scholarship in both institutions of China's financial system and the banking sector ([Allen, Qian, & Gu, 2017](#); [Sun, 2020](#); [He & Wei, 2023](#)) and Chinese party-state capitalism ([Tsai & Naughton, 2015](#); [Pearson et al., 2021](#); [Pearson, Rithmire, & Tsai, 2023](#)) does not offer a view on how institutions and the process of constructing institutions—which are rules, norms, networks, etc.—is set up, under

Chinese authoritarian framework, to encroach the party-state influence over banking activities. Existing literature has moderate emphasis on the architecture and function of Chinese banking institutions, as well as their roles as intervening channels. Government interventions, such as credit window planning, bailouts, etc. as well as policy-motivated banking, are not unique to China. What differs it from the West's market-centered approach is how a mixture of party and state institutions, i.e. the party-state capitalism model, facilitates contemporary CCP's control of the banking sector. This is the foundational question for our research.

In this article, we aim to extend the theoretical depth of Chinese party-state capitalism into the banking sector, using an institutionalist approach. Our methodology primarily relies on recent trends and key characteristics of Chinese party-state capitalism, as well as authoritarian institutionalization as the secondary analytical lens. Detailed description of the methodology is presented in the next section.

With the stated methodology, we identify three key controlling/influencing channels that the party-state utilizes to address its control over China's banking sector—they are regulatory control, ownership control, and personnel control. These three extensions of party-state's political power to banking activities create tensions, especially between the state "guidance" versus the market principles, but also not limited to intra-state and intra-market conflicts of interest. This part is the core of our research, where the analytical results are structured into a set of three controlling/influencing channels that politically empower the party-state, as well as the three types of tension that grew out from these interventions.

In sum, we want to emphasize that given the contemporary political economic status of China, the CCP retains absolute influence over the banking sector, exercising via institutionalized controlling channels.

2 Methodology

Our methodology consists of two sets of theoretical foundations—Chinese party-state capitalism and authoritarian institutionalization.

2.1 Chinese Party-State Capitalism

This is the primary theoretical work of this research. As noted by [Pearson et al. \(2021\)](#), "state capitalism" refers to a family of politico-economic models with the state's dominant economic agency despite the existence of liberalized markets. However, as China opts to utilize the state capitalism model in a different fashion compared to other countries, [Huang \(2008\)](#) coined the term Chinese state capitalism. Continue the scholarship on this topic, [Tsai and Naughton \(2015, p. 18-19\)](#) define this model with seven key characteristics, emphasizing the overlapping of the government and the CCP, which are:

1. The central government holds direct control over strategic sectors (telecommunication, petroleum, defense, and finance) via ownership and personnel management.
2. A *nomenklatura* system when the Party monopolizes personnel appointment and promotion.
3. The liberalized Chinese market follows economic principles.

4. The party-state “guides” the economy via industrial policies.
5. Finance, as the nervous system for the economy, is under the party-control—political power grows from the vault of a bank.
6. Legacy institutions from Maoist era create fragmentation and complex layers in regulations.
7. A systemic dichotomy in welfare between the rural and the urban area.

The authors note that this approach of China is different from what the country officially proclaims, i.e., “socialism with Chinese characteristics (中国特色社会主义),” or the widely known East Asian developmental state model. After waves of economic reforms, China still has a strong and robust set of state-owned enterprises and banks, as well as intervention mechanisms regarding ownership and management. The prevailing state sector, under the justification of “economic security” and regime’s survival, is the core foundation of Chinese party-state capitalism.

However, since Xi Jinping’s general secretaryship that began in 2012, Chinese party-state capitalism has evolved with three contemporary trends (Pearson et al., 2021). First, the party-state continue its encroachment on the economy by establishing party cells within private firms, conducting “financialization” to facilitate control of equity stake using sophisticated state-owned capital management schemes and special management share (i.e., the 1% golden share with veto power), as well as the increasing use of industrial policies such as “Made in China 2025.” Second, the distinction between private and public sectors is furtherly blurred. Regarding the significance of the private sector by its contribution “60/70/80/90” to the Chinese economy—60% of GDP, 70% of innovation, 80% of urban employment, and 90% of new employment—the party-state does not perceive private firms as being truly private but like a relative hiving off from the government, where businesses are privately owned by have to serve “public missions” dictated by the CCP. And the third point, originated from the multifaceted relationship between the party-state and the economy, the CCP demands political loyalty from firms, where they are expected to be adhered to the party-defined political correctness—silencing dissent, political criticism, etc.—via self censorship or direct pressure.

Thus, to carry out the analytical framework of contemporary Chinese party-state capitalism for addressing the banking sector, we focus on two facts—the party-state controls banking activities, and controls are constructed based on institutions—regulations, ownership, and personnel. These are the three channels that we will carry on in the next section.

2.2 Authoritarian Institutionalization

Alongside Chinese party-state capitalism, we want to frame this research with a secondary lens of authoritarian institutionalization, where institutions reflect power dynamics, and institutionalization signal changes in political equilibria. We used the term authoritarian institutionalization to describe the institutionalization process of the political system in authoritarian-party-state regimes like Vietnam and China. In this case, the institutionalization process reflects the changing process of equilibria within the system to obtain “value and stability,” leading to regime resilience. Institutionalization addresses exogenous and endogenous shocks by being the re-stabilization mechanism that forms new consensus, arrangements, norms, etc., that reflects the new equilibria. In principle, authoritarian institutionalization is aggregated from two theoretical families: scholarships on authoritarian resilience and Huntington (1965)’s institutionalization as a political development framework.

First, the theory of authoritarian resilience argues that authoritarian regimes are resilient because they pursue institutionalization (and re-institutionalization) processes to stabilize the politico-economic system, via channels such as succession politics, performance-based legitimization, accountability, etc. (Nathan, 2003; Fewsmith & Nathan, 2019). Institutions make authoritarian regimes resilient. However, in contrast to institution-as-rules in democratic regimes, authoritarian institutions exist as equilibria (Pepinsky, 2014). Lagacé and Gandhi (2015) notes that to exist as equilibria between different power dynamics, the functions of authoritarian institutions are (1) information gathering, (2) co-optation, (3) credible commitments, (4) conflict resolution, (5) signaling, (6) minimizing future losses, and (7) diffusing responsibility; while having disadvantageous features such as (1) institution bundling, (2) institution as constraints, (3) risk and trade-offs in comparison with other institutions.

Second, political institutionalization is perceived as a process of political development, when the political system acquires value and stability (Huntington, 1965). The level of political institutionalization can be measured via (1) adaptability—how the system can adapt to new changes, (2) complexity—calculus of subunits, hierarchies, and functions, (3) autonomy—measure of operational independence to other spheres of influence, and (4) coherence—how the system can function as an interconnected whole. In this sense, institutionalization is a process that helps China stabilize its politico-economic system, as noted by Nathan (2003); Fewsmith and Nathan (2019), making the regime resilient and the CCP as the monopoly of political power.

Thus, we can distill the theoretical foundation of how institutionalization happens within an authoritarian regime like China, regarding the extending institutional reach of the banking sector. This helps us navigate the power dynamics, which originated from the controlling channels of the Chinese party-state capitalism model, between (1) the party-state versus the market, (2) intra-market, and (3) intra-party-state—where current institutions reflect ongoing equilibria.

3 Facts about the China's Banking Sector

In this section we address the facts about China's banking sector, including a brief historical account, structure, and recent trends.

3.1 Brief History of China's Banking Sector

To have more understanding of nowadays China's banking sector, we must revise the history and go back to Deng's "reform and opening up" (改革开放) of the economy in 1978. He and Wei (2023) start from this historical milestone to categorize the banking reform in China into three stages.

The first stage (1978-1993) is the restructure of the People's Bank of China (PBoC, 中国人民银行) commercial lending branches into the Big Four state-owned commercial banks (SOCBs):

1. Industrial and Commercial Bank of China (ICBC, 中国工商银行)
2. China Construction Bank (CCB, 中国建设银行)
3. Bank of China (BOC, 中国银行)
4. Agricultural Bank of China (ABC, 中国农业银行)

and formal establishment of the PBoC as China's central bank, separated from the Ministry of Finance

(MOF, 财政部), and responsible for national credit planning.

In the second stage (1993-2003), China State Council (中华人民共和国国务院) released the "Decision on Financial System Reform" in 1993 to continue the commercialization of the banking system in China. In 1994, the policy lending function was handed over from the Big Four to the three policy banks:

1. China Development Bank (CDB, 国家开发银行)
2. Export-Import Bank of China (CEXIM, 中国进出口银行)
3. Agriculture Development Bank of China (ADBC, 中国农业发展银行)

In 1995, the National People's Congress (NPC, 人民代表大会) passed the Law of People's Bank of China to formally affirm the PBoC's as a modern central bank—in charge of (1) monetary policy and stability of the renminbi (RMB) for promoting economic growth, (2) financial supervision and regulation, and (3) providing national-level financial services—according to [Zheng and Wang \(2021\)](#). The PBoC continued to modernize itself by foregoing the credit plan system in 1998 and gradually shifted to indirect credit management via quantity-based instruments such as open market operations (OMO), reserve requirement ratios (RRR), and central bank lending.

In the third stage (2003-present), China opts to focus on ownership reform, initiated by the approval of the state-owned commercial banks' share ownership reform plan in 2003. The China Banking Regulatory Commission (CBRC, 中国银行业监督管理委员会), responsible for administrative governance of the banking sector, classified the Bank of Communication (BOCOM, 交通银行) as the fifth SOCB in 2007, and the Big Four became the Big Five. In 2018, the Postal Saving Bank of China (PSBC, 中国邮政储蓄银行) was classified as a SOCB by the CBRC, and the Big Five entered the Big Six era. Regarding the ownership reform, there were three implemented measures—(1) recapitalization of SOCBs, (2) disposing of non-performing loans (NPLs) using state-owned asset management companies (AMCs), and (3) introducing foreign strategic investors and integration to the global financial system. The most notable AMC that was established is the Central Huijin Investment Company (中央汇金投资有限责任公司), owned by China Investment Corporation (中国投资有限责任公司) that is wholly state-owned and authorized to represent the government's interest as "a shareholder in state-owned financial institutions" ([He & Wei, 2023](#), p.16).

3.2 Structure of China's Banking Sector

High level of asset concentration in big SOCBs. According to [Sun \(2020\)](#), the banking sector accounted for more than 97% of the total assets of China's financial system in 2018. Banking dominance relies on the SOCBs, i.e. the Big Four/Five/Six—when in 2005 to 2016, their pretax profits increased 6.3 times, from 23.5 billion dollars to 171.7 billion dollars, for a compound annual growth rate of 19.8%; and at the end of 2016, the total amount of profits of these five (excluding PSBC) had out-weighted the total profits of seven global banks (see Figure 1).

Various types of banking institutions. China's banking system is populated with state-owned commercial banks, policy banks, joint-stock commercial banks, and others (such as privately-owned banks, city commercial banks, rural area financial institutions, and foreign banks) ([Sun, 2020](#)). Regarding SOCBs, they are majority-owned by the central government and focus on traditional financial inter-

Figure 1: The Big Six SOCBs versus selected global peers (as of end-2024 or Q1 2025)

Institution	Total assets (USD tn)	Net profit (USD bn)	Home
Chinese state-owned commercial banks			
ICBC 中国工商银行	 6.92	50.7	China
ABC 中国农业银行	 5.97 ^e	38.7 ^e	China
CCB 中国建设银行	 5.65	46.8	China
BOC 中国银行	 4.80 ^e	32.8 ^e	China
PSBC 中国邮政储蓄银行	 2.37 ^e	11.8 ^e	China
BOCOM 交通银行	 2.05 ^e	12.8 ^e	China
Big Six subtotal	27.76	193.6	
Selected global peers			
JPMorgan Chase	 4.00	58.5	United States
Bank of America	 3.18	27.1 ^e	United States
HSBC	 3.02	25.0	United Kingdom
BNP Paribas	 2.93	11.2 ^e	France
Citigroup	 2.46	12.7 ^e	United States
Global peers subtotal	15.59	134.5	

Sources: Annual reports (FY2024). RMB figures converted at 7.18 USD/RMB (end-2024). ICBC net profit: CNY 364bn (The Standard); CCB net profit: CNY 336bn, assets CNY 40.57tn (CCB 2024 Annual Results); JPMorgan: assets \$4.0tn, net income \$58.5bn (JPMorgan 4Q24 press release); HSBC: assets \$3.02tn, net profit after tax \$25.0bn (HSBC 2024 results); BofA assets: \$3.18tn (S&P Global). e = estimated from institutional disclosures and EY China Banking Review (2024). Figures are rounded to two decimal places. The Big Six asset subtotal exceeds the combined assets of all five global peers listed.

mediation between savers and borrowers. Regarding policy banks, they are wholly state-owned, and each has a distinct political mission. Regarding joint-stock commercial banks, their shares are held by corporations, including non-state entities, but the government does own stakes in it but they are significantly smaller in comparison to big SOCBs.

3.3 Recent Trends

There are two key events that shape the current state of China's banking sector—the 2008 RMB 4 trillion stimulus package and housing market exposure.

Lasting macroeconomic impacts from the massive fiscal stimulus. According to [Chang, Chen, Waggoner, and Zha \(2016\)](#) and [He and Wei \(2023\)](#), to stabilize the Chinese economy after the the 2007-2008 global financial crisis that reduced the demand of imported goods from China, policymakers introduced a stimulus package valued at RMB 4 trillion, mostly implemented by local government and state-owned enterprises (SOEs) for infrastructure investment under the form of credit expansion. This created a long-last impact on sustaining the high investment rate even after the government ceased long-term credit expansions scheme in 2011. Furthermore, as the authors notes, SOEs crowded private firms out in access to credit, despite their economic inefficiency as SOCBs were less reluctant to lend

to them. Additionally, the effects were exacerbated as local governments, with growth target pressure but limited fiscal space, established Local Government Financing Vehicles (LGFV, 地方政府融资平台) to issue municipal corporate bonds (i.e., chengtou bonds, 城市投融资平台债券) for infrastructure activities, usually involving SOEs (He & Wei, 2023; Liang, Shi, Wang, & Xu, 2017). The noteworthy point is LGFV financing activities spiraled off into shadow banking activities, and such structural risks were not explicitly recorded in local governments' fiscal accounts. Thus, the results are twofold—inefficient and imbalanced credit allocation and local government hidden debts.

The housing market poses a systemic risk to the economy. According to (Liu & Xiong, 2018), approximately 25% of all banking assets are property-related loans as of late 2016, and housing sales contributed to nearly one-fifth (16.4%) of China's GDP in 2017. This creates a total property-related exposure in the banking system that reached an estimated 55 trillion RMB in 2016 via mortgage loans, real estate development loans, and collateral lending. When land prices drop, these borrowers may face collateral shortfalls, potentially triggering defaults and forcing banks to recognize losses—this is the scenario occurred in 2016 when Xi Jinping stated “Houses are for living, not for speculation (房子是用来住的, 不是用来炒的)” and the Three Red Lines (三条红线) policy imposed in 2020, marked the end of overheating housing market. Furthermore, when real estate prices dropped, local governments with reliance on LGFV financing also faced tighter fiscal budget and debt service burdens, as well as for households with a significant share of wealth tied to property value.

In sum, these facts about China's banking sector contextualize our analysis, where they reflect the development, innovation, and structural constraints that Chinese leaders have to address.

4 Controlling Channels

In this section we analyze the contemporary controlling channels of the Party-State for the banking sector, as noted by Tsai and Naughton (2015) the party-state considers finance, dominated by banking activities, as one of the strategic sectors that must be under its control. These channels are regulatory control, ownership control, and personnel control.

4.1 Regulatory Control

The first controlling channel is rule-based statutory institutions to encroach its interventions to banking activities. Institutions are structured into two lines—the party line, which are commission, work committee, and leading small group, etc. that under the leadership of CCP Central Committee (中国共产党中央委员会); and the government line with agencies under the State Council.

According to Asia Society Policy Institute, Center for China Analysis (2026), the top-notch of regulatory institution is the CCP Central Financial and Economic Affairs Commission (CFEAC, 中央财经委员会). This party commission is under the CCP Central Committee, traditionally the core decision-making and coordination body on economic and financial policy according to top-level design principles. Its leader is General Secretary Xi Jinping, while the vice head is Premier Li Qiang (李强). Down to the secondary rank is the CCP Central Finance Commission (CFC, 中央委员会金融委员会), has the Premier and Vice Premier as its head and vice head. The CFC is also under the Central Committee, responsible for policy decision-making, coordination, and implementation regarding the financial matters of the economy. Then the third institution—the CCP Central Financial Work Committee (CFWC, 中央委员会金融工作委员会)—also under the Central Committee, led by Vice Premier He Lifeng (何立

峰), in charge for party guidance over the financial sector regarding political, ideological, organizational and discipline matters.

On the government line, under the State Council are four mandate-distinct “sibling” institutions—the Ministry of Finance (MOF, 财政部) as the key fiscal authority, the People’s Bank of China (PBoC, 中国人民银行) as the central bank in charge of monetary policy, the National Financial Regulatory Administration (NFRA, 国家金融监督管理总局) that’s responsible for supervising financial institutions, and the China Security Regulatory Commission (CSRC, 中国证券监督管理委员会) that’s tasked with supervision of the security and future markets.

In this framework, the party line and government line do not operate as a simple top-down hierarchy, but rather as an intertwined and functionally differentiated dual structure, where each layer targets a distinct dimension of control. On top of all, under direct influence of Xi Jinping, the CFEAC sets the macro direction, ensuring that financial policy remains subordinated to the party’s broader political objectives, including economic security and regime survival. However, such top-level design requires the role of operational bridge of the CFC, translating the determined political direction into policy coordination that government-line is expected to implement. On the other hand, the CFWC serves as the “ideological and organizational police” that oversee party members who are working within those agencies and within the financial institutions they supervise.

On the government line, the PBoC, NFRA, MOF, and CSRC retain control and have a certain degree of autonomy on their respective mandates. However, the party line controls the pre-determined policy agenda above them. Thus, despite their formality as technocratic regulatory apparatuses, in practice, they are just an administrative layer which follows directives from the party central leadership.

In sum, Chinese party-state capitalism differs from ordinary, Western style, statutory institutions in the sense that the CCP retains its political authority and above regulatory agencies, as well as hold limited accountability to market actors. In short, it is the party’s directives first, technical resolutions based on market principles second. Framed this into [Lagacé and Gandhi \(2015\)](#)’s analysis, we note that this institutional framework performs (1) co-optation by binding technocrats’ authority to party objectives, (2) creating credible commitment by maintaining rules-based supervision for market sufficiency, and (3) information gathering, as regulatory reporting flows upward through party-controlled channels. On the other hand, this also supports [Tsai and Naughton \(2015\)](#)’s argument on fragmented and layering regulatory institutions characteristic, as well as the centralization of party’s control under Xi Jinping’s leadership noted by [Pearson et al. \(2021\)](#).

4.2 Ownership Control

The second controlling channel operates via equity ownership, relying on the corporate governance principles—the party-state extends its influence as an investor. By holding majority or controlling stakes in the Big Six SOCBs and the three policy banks, the party-state practices its shareholder authority regarding strategic decisions, board composition, and capital allocation. Such exercise of ownership control is not a legacy of the Maoist era central planning system but a modern approach which they borrowed from the West. This controlling channel is institutionalized through two main deputy-ministerial-level holding vehicles—the China Investment Corporation (CIC, 中国投资有限责任公司) and its subsidiary, Central Huijin Investment (中央汇金投资有限责任公司), alongside the Ministry of Finance (MOF).

Central Huijin is the party-state's most important institution to exercise their control over the banking system. It holds 34.71% of ICBC, 57.03% of CCB, 64.13% of BOC, and 40.14% of ABC as of Q1 2025, functioning as the controlling shareholder in each case. On the other hand, the MOF complements this by holding direct stakes, including 34.60% in ICBC, 35.29% in ABC, 23.88% in BOCOM, and also retains 100% ownership of the two fully state-owned policy banks, ADBC and China Exim Bank. Regarding the special size and role of the CDB, ownership is distributed across MOF (36.54%), Central Huijin (34.68%), and Buttonwood Investment Holding (梧桐树投资平台, 27.19%), the last of which is itself a state-controlled entity owned by the State Administration of Foreign Exchange (SAFE, 国家外汇管理局), making CDB de facto wholly state-owned despite its mixed ownership appearance. Another exception is the PSBC, which is controlled through the China Post Group Corporation (中国邮政储蓄银行, 62.78%), a state-owned legal entity under the State Council, with MOF becoming a direct shareholder only via the June 2025 A-share placement.

Figure 2: State Ownership Share of Chinese Banks (as of end-2024 or Q1 2025)

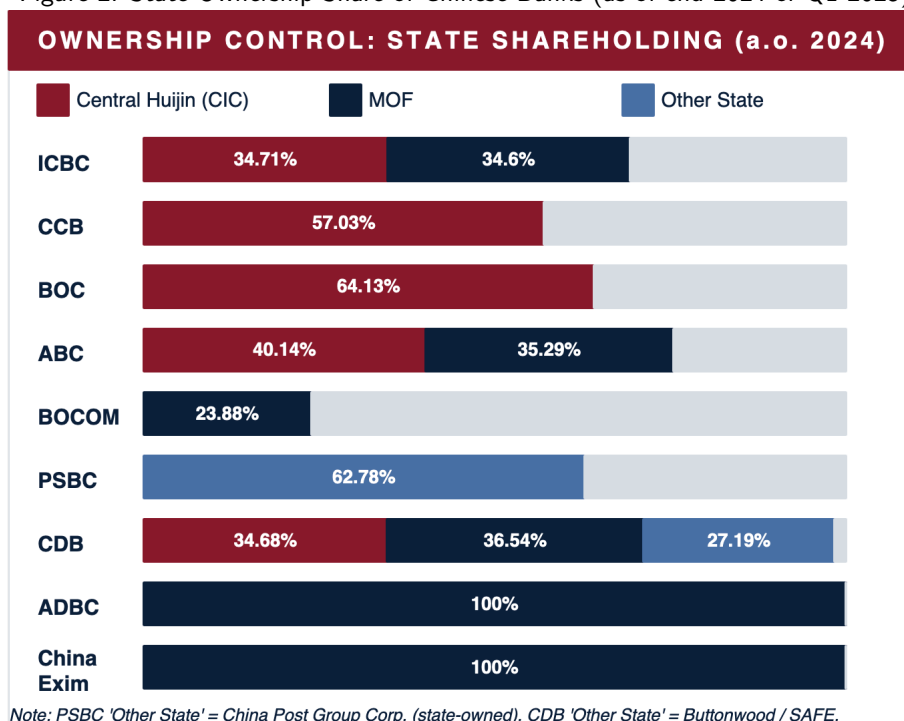
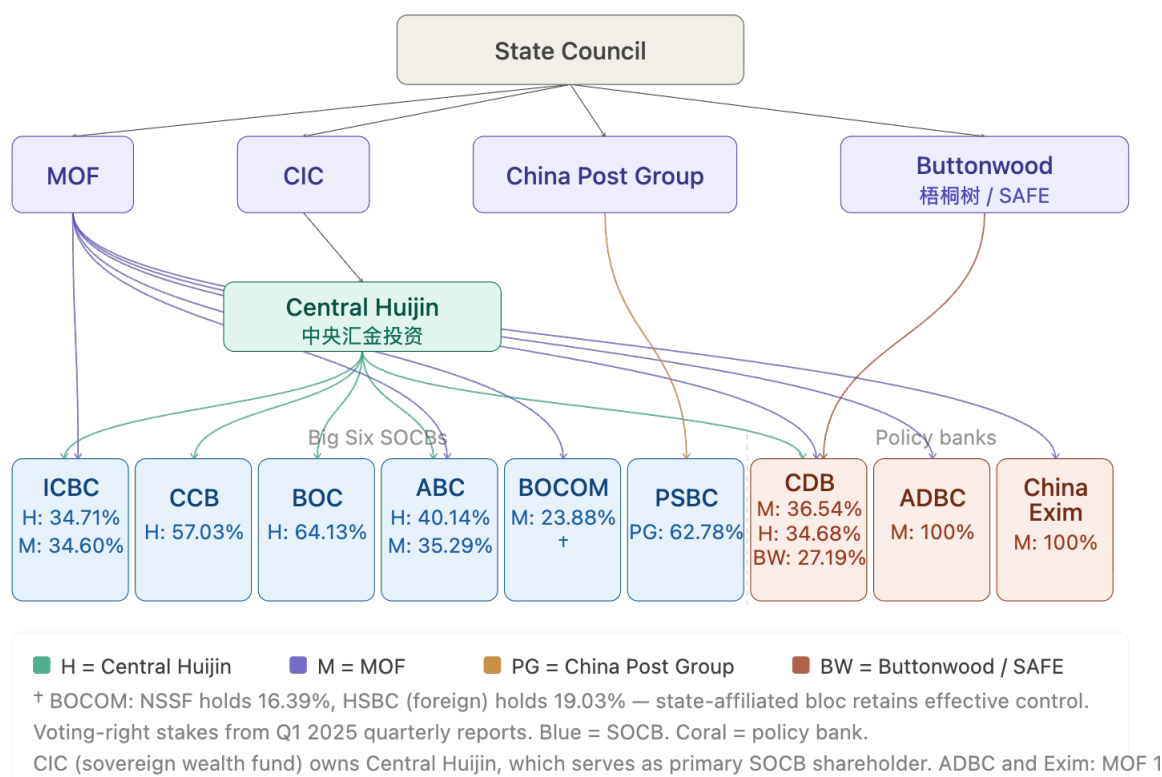


Figure 3: State Ownership Matrix of Chinese Banks (as of end-2024 or Q1 2025)



Thus, the Chinese party-state capitalism converts corporate governance of state-owned banks into a political instrument. Here, board of directors appointments, dividend policy, capital adequacy decisions, and especially lending mandates become instruments that transmits the party-state's political objectives into banking activities without requiring direct regulatory intervention.

4.3 Personnel Control

The third controlling channel, which is the most distinct from Western institutions, is the control of personnel via the CCP Organization Department (中央组织部) that holds final decision over the appointment and promotion of key executives across the banking sector. Unlike regulatory control, which operates through rules-based instruments, or ownership control, which operates through shareholder mechanisms, personnel control is structured through the party's internal hierarchy—a nomenklatura system as noted by Tsai and Naughton (2015) as one of the seven defining characteristics of Chinese party-state capitalism. In this sense, party membership is a prerequisite for senior executive positions in state-owned banks, reflecting a loyalty structure within banking institutions.

This pattern can be observed based on the political rank of key banking executives, reflecting their position within the party hierarchy. Regarding the chairmen of the Big Six and the policy banks, they hold ranks commensurate with their institutional significance, typically at the deputy-ministerial or ministerial level (e.g., Zhao Huan, 赵欢, of CDB), assessed by membership in the Central Committee (中央委员会), CCP commissions, or working committees. Regarding the holding companies CIC and Central Huijin, both operating at the deputy-ministerial level, follow the same logic where Zhang

Qingsong (张青松) simultaneously being the chairman of both entities. We note that this convergence of chairmanship across CIC and Central Huijin is not for administrative convenience but a strategic personnel decision that eliminates the principal-agent separation between the two holding vehicles.

Another mechanism of personnel control is the rotation system. Senior executives rotate between regulatory agencies, policy banks, and commercial banks on cycles determined by the Organization Department, not by institutional boards or shareholder votes. For example, the current Governor of the PBoC, Pan Gongsheng (潘功胜) was previously a Vice President of ABC and the Director of SAFE. This rotation system performs two functions as identified by [Lagacé and Gandhi \(2015\)](#)—(1) information gathering, as executives carry institutional knowledge across entities that the party can draw on, and (2) co-optation, as career advancement depends on demonstrated political loyalty rather than purely on financial performance. The result is that the incentive structure of senior banking management is aligned with party objectives by design, not by contract.

Thus, this personnel-based controlling channel complements what ownership and regulatory control alone cannot address—the principal-agent problem. In this sense, personnel control is the most direct of the three channels, bypassing rule-based regulations and ownership to emphasize bank executives' loyalty to the party-state. Its complementary role also serves as the connection between regulatory and ownership channels. For example, the same individuals who sit on SOCB boards are party members accountable to the CFWC for ideological conduct, and are also shareholders' representatives accountable to CIC and Central Huijin for capital returns. This institutionalizes a mechanism of preventing independent bases of power within the banking sector that could lead to the principal-agent problem.

5 Power Dynamics

With the existence of the three controlling channels as the encroachment of the party-state to the banking sector, the result is three power dynamics we identified. They are a primary power dynamic between the party-state versus the market, as well as intra-market and intra-state conflicts.

First, the three controlling channels, collectively, produce a financial system where bank credit is directed by political priority rather than efficient economic allocations. This creates a structural tension between party-state guidance and market principles. For example, the 2008 RMB 4 trillion stimulus put this problem into practice at scale, where SOCBs, under political mandate transmitted through ownership and personnel channels, extended credit to SOEs and LGFV-backed projects despite capital inefficiency, crowding private firms out of credit markets ([Chang et al., 2016](#); [He & Wei, 2023](#); [Liang et al., 2017](#)).

Second, there is a structural asymmetry between the party-state-connected and other participants within the lending markets. In this case, ownership control that concentrated in the Big Six SOCB dwarfs the asset base and reputation of the joint-stock and private banking tier ([Sun, 2020](#)). On the other hand, as noted above, private firms face limited access to credit due to SOCB's lending favoritism toward SOEs and LGFV-backed projects, as noted by [He and Wei \(2023\)](#).

Third, within the party-state, there are conflicts between fragmented, layered, and functionally overlapping institutions, as well as between the individuals who are in charge of them. We note that the most prominent tension is between the technocrats in the government-line institutions, such as PBoC, NFRA, etc., versus career politicians who advance through the nomenklatura system via

provincial/municipal secretaryship or other internal party agencies such as the China Communist Youth League (中国共产主义青年团) for the case of Hu Jintao's (胡锦涛) Tuanpai (团派).

However, these kinds of tension, as Pepinsky (2013) noted, are not failures of the system but equilibrium outcomes. Here, the party-state maintains power dynamics in partial conflict to preserve its own role, especially top-notch bases such as the Central Committee, the Politburo, and Xi at the core of power, as the ultimate authority. This finding is consistent with Nathan (2003)'s and Fewsmith and Nathan (2019)'s account of authoritarian resilience through institutionalization.

6 Conclusion

The CCP controls both political power grows out from the barrel of a gun and the vault of a bank. Before Deng Xiaoping's economic reform, the CCP had its power base from loyalty of the military and people's fear of being coerced. After the reform and the economy advances, the party-state is no longer able to rely on armed forces to affirm its sole leadership over China. To address this, it implements the Chinese party-state capitalism model, where the party-state extends its control to the economy with an emphasis on strategic sectors including banking.

In this research, we have addressed the question—how a mixture of party and state institutions, i.e. the party-state capitalism model, facilitates contemporary CCP's control of the banking sector? The core finding is that, given contemporary contextualizations, the party-state encroaches its influence on the banking sector via three controlling channels—(1) regulatory control, (2) ownership control, and (3) personnel control. Simultaneously, these channels entrench the CCP's political directives to lending operation of banks, allowing the party-state to hold significant power over flow-of-fund and financial matters within the Chinese economy. Such action is analogous to absolute authority and political influence that overshadows market-based finance.

However, this exercise of political control over the banking sector does not come without consequences. We identified three power dynamics that grow out from the three controlling channels, including (1) structural friction between the party-state guidance versus market fundamentals, (2) incidences due to market distortions, and (3) conflicts between party-state agencies due to functional overlapping as well as between technocrats and career politicians. We note that these discords are not systemic failures but an equilibrium outcome, according to authoritarian institutions scholarship. In this equilibrium, the top-notch of CCP, retains ultimate authority.

In sum, this research has examined the political economy of contemporary China's banking sector, and we conclude that at the current state, the party-state has absolute control over domestic banking activities, given all constraints and leverages.

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